How to Use Your Break-Even Occupancy Calculator

SKU FIN-002 · BREAK-EVEN OCCUPANCY CALCULATOR

What this workbook does

Single-property break-even calculator. Computes: how empty can your property get before you're losing money? Also outputs the buffer-margin layer (10/20/30% above break-even) so you know your safety zone.

Most STR hosts memorize their "target occupancy" but don't know the actual break-even. When the market softens 15%, the answer matters fast.

First-time setup (5 min)

1. **Revenue Side:** ADR, cleaning fee charged to guest, avg LOS, available nights, platform commission %.
2. **Annual Fixed Costs:** mortgage interest, property tax, insurance, HOA, utilities, internet, software, marketing, +2 other lines.
3. **Per-Turnover Variable:** cleaning paid, supplies, maintenance reserve, other variable per turn.

Reading the outputs

- **Headline Answer:** "Property breaks even at 47% occupancy" (or whatever the math says)
- **Sensitivity Grid:** ADR × occupancy → net income. Find your tolerance band.
- **Buffer Margin:** at current 62% occupancy, you're 32% above break-even — safe.
- **10% Revenue Drop Stress:** simulates a soft market, shows where break-even moves to.

Common patterns

- Break-even <40% → strong cushion, safe in most market conditions
- Break-even 40-55% → typical for well-financed STRs; monitor seasonal dips
- Break-even >55% → tight; vulnerable to off-season cash crunch (use FIN-003 to forecast)

Questions?

hello@thestrledger.com — real humans, fast replies.

Pair with: TAX-002 Single-Property P&L (input data source), FIN-003 12-Month Cash Flow Forecaster (forward-looking version), REV-002 Dynamic Pricing (lever to push above break-even).